



State Bank of India
With you - all the way

Pure Banking.
Nothing else.

E). Equity-Linked Saving Schemes (ELSS)

Returns: Market linked (20% in past five years)

Maximum deduction: Rs 1 lakh

Income: Tax free

Best suited for: Long-term investors willing to take calculated risk

It has often been said that disciplined investments in equities can yield extraordinary returns. ELSS funds offer high returns but they also come with high risk. Even so, they are the best bet for the long-term investor who is not averse to taking calculated risks and doesn't get scared by notional losses. Opt for the dividend option if you are looking for periodic payments. Dividends are tax free, as are the capital gains from ELSS funds. Analysts believe that the markets will continue to be volatile in the short to medium term. The best way to beat volatility is by taking the SIP route which averages out your cost of purchase.

F). Unit-Linked Insurance Plans (ULIPS)

Returns: Market linked

Maximum deduction: Rs 1 lakh

Income: Tax free

Best suited for: Long-term investors looking for insurance-cum-investment

Till last year, a Ulip was seen as a high cost mutual fund. But in 2009, the insurance regulator put a cap on the charges that insurers could levy on investors over the term of a Ulip. This has made Ulips an attractive proposition for investors looking for a combo of tax savings and life insurance cover. They are also a useful asset allocation tool for the pro-active investor. Even if you are not market savvy, there are Ulips that change the allocation as per the investor's life stage. The only person who should stay away from Ulips is the short-term investor. Invest only if you plan to continue with the policy for at least 10-12 years. Before that, the Ulip may not be able to recover the high charges that are levied in the initial years.

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15th March, 2010